Linley Cost Consultants
Quantity surveying and cost management

Initial Quantity Surveyor Report

Riverside Commons, 9 Marquet Lane, Rhodes NSW: budget, contract, contingency and programm

Prepared for Quillwood Credit Partners
Version 1.0, 12 March 2026
Prepared by Linley Cost Consultants
Reference: LCC-QCP-RVC-QS-001
Date: 12 March 2026

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Borrower	Riverside Commons Pty Ltd (ABN 91 014 685 765)
Sponsor	Kaiyo Living Group Pty Ltd (trading as Kaiyo Living)
Project site	9 Marquet Lane, Rhodes NSW 2138
Proposed facility	A$118.0M senior secured construction facility, 36 months
Builder	Tallowood Construction Pty Ltd
Report date	12 March 2026
Version	1.0, initial report
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Report details

1. Executive summary

Quillwood Credit Partners has asked us to review the construction budget, the design and construct contract, the contingency allowance and the construction programme for the Riverside Commons project. The project is a 162 unit apartment development in two buildings of 11 and 14 storeys above a shared basement of 214 car spaces, with 15,640 sqm of gross floor area and 12,050 sqm of net saleable area.

The information memorandum dated 10 February 2026 (the IM) presents construction cost as the builder's contract sum of A$91.2M and a programme of 24 months from site start. Our assessment differs on both points.

- We assess total construction cost at A$98.4M. This is A$7.2M, or 7.9%, above the contract sum. The difference comprises provisional sum allowances, a contingency and escalation.
- We assess the time to practical completion at 28 months, four months longer than the sponsor's 24 months.
- The total development cost of A$171.6M used for this facility adopts our construction figure. On the IM construction figure, total development cost would be A$7.2M lower, which flatters the project margin.
- The contract is lump sum and fixed price, but contractual security is limited to bank guarantees of 5% of the contract sum. We recommend lender protections set out in section 9.

In our opinion the budget is adequate if our figures are adopted as the lender's baseline. It would not be adequate on the IM figures. Any overrun beyond our allowances falls on the sponsor's equity, of which A$29.0M remains to be contributed.

2. Scope, basis and sources

This report covers construction cost, the construction contract, contingency and the construction programme only. We have not verified land cost, professional fees, statutory charges, selling costs, finance costs or revenue. Those items are taken from the sponsor's budget and from the independent valuation by Harcourt Lyle Valuers Pty Ltd dated 5 March 2026, which assesses gross realisation at A$214.0M.

We reviewed the executed design and construct contract dated 12 December 2025, the contract price schedule, the provisional sum schedule, the development consent granted on 20 March 2025, the tender documentation and the builder's programme. We have not inspected the builder's financial position. The site has not been inspected for the purposes of contamination or geotechnical conclusions, and we rely on the consultants' reports provided.

3. Budget review

3.1 Total development cost

The table below shows the budget structure against which the A$118.0M facility has been sized. Other costs comprise professional fees, statutory charges, selling costs, and capitalised interest and fees, and are taken from the sponsor's budget without verification.

Cost item	A$M	% of TDC
Land including duty and costs	36.4	21.2%
Construction cost (this report)	98.4	57.3%
Other costs (not verified)	36.8	21.4%
Total development cost	**171.6**	**100.0%**

Total development cost adopted for the facility

Funding is A$118.0M of debt (68.8% of total development cost) and A$53.6M of equity. Equity contributed to date is A$24.6M, leaving A$29.0M to be injected before the first construction draw.

3.2 Construction cost benchmarks

On our figure, construction cost is about A$6,290 per sqm of gross floor area, A$8,170 per sqm of net saleable area and A$607,000 per apartment. The contract sum alone equates to about A$5,830 per sqm of gross floor area and A$563,000 per apartment. A basement of 214 car spaces and a river-proximate site with groundwater exposure support a rate at the upper end of the range for comparable Sydney high density projects. We regard our rate as reasonable and the unadjusted contract rate as light once provisional sums and escalation are recognised.

4. Reconciliation of contract sum to assessed cost

Component	A$M	Basis
Contract sum (fixed price)	91.2	Executed 12 Dec 2025
Provisional sum allowances	2.4	Expected excess over allowances
Contingency	3.2	3.5% of contract sum
Escalation	1.6	Client-side and variation exposure
Assessed construction cost	**98.4**	**This report**

Reconciliation of contract sum to assessed construction cost

Provisional sums remain in the contract for items the builder has not priced as a fixed lump sum. Where the final cost of these items exceeds the allowance, the principal pays the difference. Our A$2.4M allowance reflects the likely excess based on the maturity of design for those items. The A$1.6M escalation allowance covers cost movements on principal-supplied items and on variations over a programme longer than the sponsor assumes.

5. Contract review

The contract is a fixed price design and construct contract with Tallowood Construction Pty Ltd for A$91.2M. Fixed price D&C transfers most design development and quantity risk to the builder, which is positive for a lender. Our observations are as follows.

- Security of performance is limited to bank guarantees of 5% of the contract sum, or A$4.56M. This is at the low end of market practice for a contract of this size and is thin against a builder insolvency, where

completion by a replacement builder commonly costs well above the guarantee.

- Tallowood Construction Pty Ltd carries a lump sum exposure of more than A$90M. Builder insolvency is a recurring risk in the NSW sector and the borrower's protection is largely the guarantee plus any retention.
- Provisional sums are the principal route through which cost can move above the contract sum. They should be reported in each progress claim certificate against the original allowance.
- We have not been able to confirm from the documents provided the rate of delay damages, the extension of time regime or the date for practical completion. Brannock Sutherland Lawyers should confirm these before financial close.

6. Contingency

The IM presents no separate contingency against the construction line. We have included A$3.2M, or 3.5% of the contract sum and 3.3% of assessed cost. For a fixed price D&C contract at consent stage with substantial basement works, we would expect an allowance of 3% to 5%. A$3.2M sits at the lower end of that range and is adequate only if the allowances for provisional sums and escalation are held separately and not drawn down to fund variations.

The main contingency calls we expect are groundwater management during basement excavation, residual contamination associated with the former industrial precinct, and flood planning level requirements near the Parramatta River. Each could trigger variations or extensions of time that are not recoverable from the builder.

6.1 Cost sensitivity

Scenario	TDC A$M	Equity A$M	Margin on cost
Base case (assessed cost)	171.6	53.6	24.7%
Overrun of 5% (A$4.9M)	176.5	58.5	21.2%
Overrun of 10% (A$9.8M)	181.4	63.4	18.0%

Sensitivity to construction cost overrun, GRV held at A$214.0M and debt held at A$118.0M

Because the facility limit is fixed, overruns increase the equity requirement and reduce margin rather than increasing debt. The cushion is therefore only as strong as the sponsor's capacity to fund the additional equity.

7. Programme

The sponsor assumes 24 months from site start to practical completion. We assess 28 months. We consider the sponsor's period optimistic for two buildings of 11 and 14 storeys over a shared basement on a groundwater-affected site. The indicative phasing below is sequential at the end-month level and already allows for overlap between trades.

Phase	Duration (months)	Ends month
Mobilisation, demolition and shoring	3	3
Excavation and basement	5	8
Structure, both buildings	10	18
Facade, services and fit out	8	26
Commissioning, defects and occupation certificate	2	28

Indicative construction programme, 28 months

If site start coincides with financial close, practical completion at month 28 leaves eight months of the 36 month tenor for settlements, compared with 12 months on the sponsor's programme. A settlement window of

eight months for 162 apartments is workable but leaves little room for delay, and purchasers' settlement periods typically run beyond practical completion. Four additional months also add to capitalised interest and line fees. We have not modelled the interest cost, and Quillwood should run the four month extension through its own model.

8. Key risks

- Cost: overruns beyond A$98.4M fall on sponsor equity. Provisional sums and ground conditions are the most likely sources.
- Programme: a delay beyond 28 months compresses the settlement window and puts pressure on repayment within the tenor.
- Builder: limited security relative to the size of the contract.
- Site: flood planning levels, groundwater and possible contamination could increase cost or delay works.
- Sponsor liquidity: A$29.0M of cash equity remains to be injected before the first construction draw, and the sponsor has other projects in delivery.

9. Recommendations

- Adopt A$98.4M as the construction cost and 28 months as the programme for credit assessment and for the facility model.
- Require the full A$29.0M of remaining equity to be injected before the first construction draw, with the project monitor certifying costs incurred.
- Seek additional security of performance, either a further 5% guarantee or retention of 5% of each progress claim until practical completion.
- Require a builder's financial review, and a step-in or direct deed with Tallowood Construction Pty Ltd.
- Restrict use of the contingency and provisional sum allowances to monitor-certified items, with reporting to the lender each month.
- Require confirmation of delay damages, extension of time provisions and the practical completion date from Brannock Sutherland Lawyers.
- Appoint a project monitor to certify each drawdown against progress, and to report cost to complete against the A$98.4M budget.

10. Limitations

This report is prepared for Quillwood Credit Partners for the purpose of assessing the proposed facility and may not be relied on by any other party. It is based on documents provided to 12 March 2026 and on our professional judgement. Cost estimates are not a guarantee of final cost. We have not audited the sponsor's budget beyond the construction line.

11. Sign-off

Prepared by	Helen Brandt, Senior Quantity Surveyor, Linley Cost Consultants
Reviewed by	Anil Rastogi, Director, Linley Cost Consultants
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